

Financial Management

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General Components of Financial Management

- Planning
 - Assessing the organization's current financial situation and future financial situation.
- Programming
 - Scheduling of activities that an organization must do to accomplish its mission, vision, and overall goals.
 - **Program**: a collection of organizational resources geared to accomplish a certain major goal
- Budgeting
 - Allocating expenditures to each program
 - This is a forward-looking exercise, often for the next **fiscal year**, or one-year period where the budget applies and accounts are reconciled

General Components of Financial Management Cont

- Financing

- The activities needed to obtain financial resources to pay for the budget items
- This can include fundraising, grant seeking, and acquiring loans

- Controlling

- Developing a system assuring programs envisioned are being carried out appropriately
- This can be broken down into six roles McLaughlin (2002):
 - ① Control Clues
 - ② Policy Communication
 - ③ Segregation of Duties
 - ④ Record-Keeping
 - ⑤ Budgets
 - ⑥ Reporting

Key Principles of Nonprofit Financial Management

- Broadly in Nonprofit Financial Management, we are concerned with three main areas:
 - ① Transparency
 - ② Accountability
 - ③ Stewardship
- Donors are trusting nonprofit organizations to provide social good with their donation dollars – or at least more good than what they could provide just making an in-kind transfer of money themselves
- Commitment to these principles from the board down throughout the organization helps maintain and develop that trust

Nonprofit Financial Statements

① Balance Sheet (Statement of Financial Position)

- Lists the organizations assets compared to liabilities
- Typically filed at the end of the year
- Examples of Assets: cash and cash equivalents, accounts receivable, investment value, inventories of goods, land, buildings, equipment, etc.
- Examples of Liabilities: Accounts payable, taxes owed, current loans, bonds, and mortgages
- Combine to create “net assets”

② Income Statement

- Broken down into three categories: Revenues, Expenses, and Net Income
- Cash accounting can misrepresent net income based on time period cutting off revenue to be received or expenses to be paid – accrual accounting corrects for this
- Income examples: Grants, donations, fees for services
- Expense examples: Salaries, supplies, depreciation on buildings, fundraising

Nonprofit Financial Statements Continued

③ Statement of Cash Flows (Changes in Financial Position)

- This statement details net profit or loss, the current cash balance and how it compares to the previous year
- Statement will include cash received from revenues, cash paid out from expenses, along with other incomes and expenses that have been received

④ Form 990

- Operational document filed with the IRS on an annual basis
- Level of form is dependent upon the gross revenues of the organization
- The Form 990 is required to be made public for organizational inspection

Nonprofit Budgeting

- The budget provides a blueprint for organizational spending and income
- Nonprofit budgets are a combination of two types of budgets:
 - ① Line-Item Budget
 - A list of various categories and amount the organization expects to spend for each category
 - As expenses are incurred, their amounts are entered in a journal coded by expense category.
 - Amounts are aggregated by expense at the end of each month and included in the “monthly summary” to be compared with the budget to see if spending is in line
 - ② Program Budget
 - Instead of each expense having a line-item, here each program does
 - This allows for faster comparison of savings by eliminating programs
 - Overhead is much harder to allocate here

Example Budgeting Process

- 1 Begin formulating the budget three months before the start of the fiscal year to allow for board approval
- 2 Review all programs and management achievements. From here, compile a comparison of estimated costs to actual costs (“variance”)
- 3 Estimate expenses for commitments made for the upcoming year that did not require funding for the current year
- 4 Estimate expenditure increases from the predictable budget items
- 5 Estimate income
- 6 Adjust spending and income based on organization’s ability to build surpluses or incur deficits.
- 7 Submit the budget to the board for approval
- 8 Adjust budget and resubmit changes as new information is received

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Fund Accounting

- Fund Accounting refers to a system of accounting allocating funds to specific operations
- For smaller nonprofit organizations, they may have a singular, “general ledger” fund
- As a nonprofit grows and become more organizationally complex, they may establish some of the following common funds:
 - Endowment fund – A permanent fund requiring that the initial investment be unspent, but any interest (or capital gains) earned may be spent
 - Fixed asset fund – Includes fixed assets of the organizations and liabilities associated with the physical infrastructure
 - Restricted funds – Funds that have restrictions placed on them from donors

Revenue Sources and Cash Flow Analysis

- It is rare that a nonprofit organization is only funded by one source of revenue.
- A healthy nonprofit will usually have some mix of the following:
 - Donations
 - Program Service Revenue (earned income related to mission)
 - Grants
- Larger nonprofit organizations may have the following in addition to those previously mentioned:
 - Unrelated Business Income
 - Investment Income
- Cash-flow analysis describes the process of examining how much cash the organization needs to pay its obligations at each point and time and where that cash is coming from
- Certain revenues may not be received prior to expenses being due

Accounting Legal Requirements

- Financial Accounting Standards board
 - Establishes financial accounting and reporting standards for public and private companies and nonprofit organizations following the Generally Accepted Accounting Principles
 - FASB Statement 116 and 117 (1993) – All charities with at least \$5 million in assets and \$1 million in annual expenses must produce the three financial statements covered and sets standards with respect to accounting contributions
- Sarbanes-Oxley
 - 2002 law in response to corporate financial standards protecting whistle-blowers and prohibiting the destruction of litigation related documents
- Bookkeeping Requirements
 - Establish the definition of fiscal year
 - Decide on cash vs accrual accounting

Internal Financial Controls

- Internal controls establish a system of checks and balances assuring that no one can control assets without appropriate accountability
- Establishment of ethics policies that apply to organization resources that are distributed to individuals
- Policies requiring large orders of goods and services be put out for a bid
- Internal training on how to eliminate waste, fraud and abuse
- Establishing severe penalties for violating organizational policies
- Keep electron protection of records
- Keep periodic inventory of assets along with set record keeping
- Investigate suspicious activity
- Review transactions and bills

External Financial Controls

- Having an outsider verify the accounting records
 - Auditing – highest level of financial verification with a complete verification of accuracy and reliability of account statements
 - Review – application of analytical procedures by the accountant to the financial data supplied
 - Compilation – accountant confirming that assets, liabilities, fund balances, income and expenses are properly classified
- Making financial statements available for public inspection
 - This is required for the Form 990
- Maintain a policy of high degrees of financial and operational transparency

Compliance and Document Retention

- Larger nonprofit organizations can usually employ legal counsel or staff an office of compliance
 - This ensures that the organization remains in proper legal standing with their state government and the IRS
- Smaller nonprofits likely cannot afford counsel, but they can save a lot of headache on compliance with a document retention and disposal policy
- Permanently retained documents include: articles of incorporation, bylaws, IRS determination letters, tax returns, financial statements, board resolutions, board minutes, insurance policies, audit reports, personnel records, bank statements, documents relating to occupancy of offices, Form 990s
- The IRS does provide guidance regarding how long financial documents legally must be maintained in the Form 990

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Discussion Question

- Refer to the Charity Navigator Financial Accountability criteria below. Based on your reading of Chapter 8, are these criteria in line with good charity financial management? Why or why not?
- The Charity Navigator Financial Accountability criteria can be found here: <https://www.charitynavigator.org/about-us/our-methodology/ratings/accountability-finance/>